Dolph Research

EQUITY RESEARCH NOTE March 9, 2026

# SM Energy Company

| Revenue | Net Income |
|---|---|
| $3.15B | $648M |
| 17.2% | -15.8% |

| Operating Margin | Current Ratio |
|---|---|
| 31.7% | 0.69x |
| -20.7% | 26.0% |

# Executive Summary

**SM** — Current period: 2025-12-31 | Prior period: 2024-12-31

SM posted $3.15B in revenue (17.2% YoY) and $648M in net income (-15.8% YoY) for 2025-12-31. Revenue growth coupled with declining net income suggests margin pressure or rising operating costs that bear monitoring in subsequent periods. The profitability profile is defined by operating margin of 31.7% and net margin of 20.5%, framing the earnings quality behind the headline figures.
Current ratio stands at 0.69x in the locked annual basis, providing a baseline liquidity reference. The quick ratio of 0.69x confirms liquidity depth after excluding inventory from the coverage calculation.

Operating cash flow is $2.01B (12.8% YoY).

## Snapshot Scorecard

| Metric | Current | Prior | Change |
|---|---|---|---|
| Revenue | $3.15B | $2.69B | 17.2% |
| Net Income | $648M | $770M | -15.8% |
| Operating Margin | 31.7% | 40.0% | -20.7% |
| Current Ratio | 0.69x | 0.55x | 26.0% |

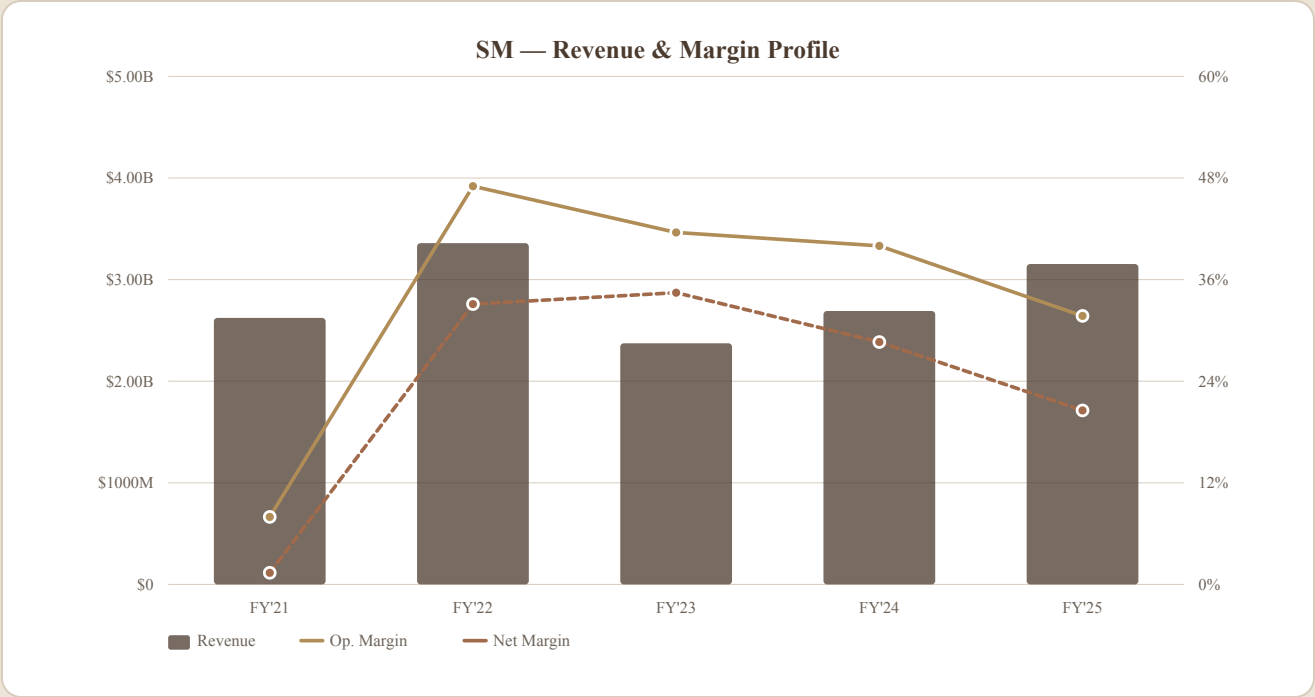
**Revenue**
**$3.15B**

**Net Income**
**$648M**

**Operating Margin**
**31.7%**

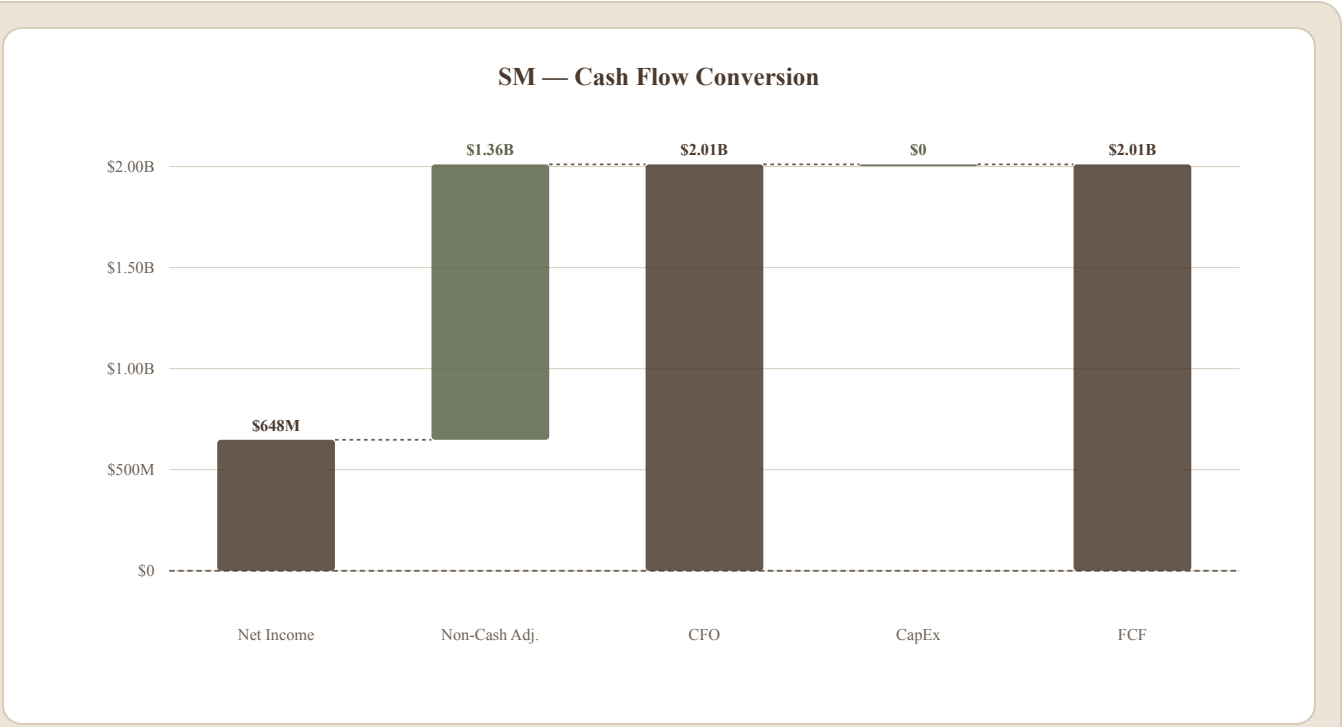
# Visual Highlights

**SM** — Current period: 2025-12-31 | Prior period: 2024-12-31




## Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.




## Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

# Key Metrics Dashboard

**SM** — Current period: 2025-12-31 | Prior period: 2024-12-31

## Profitability

| Metric | Current Value | Prior Period | Change (%) |
|---|---|---|---|
| Gross Profit | Not reported | Not reported | Not reported |
| Return on Equity | 14.3% | 18.2% | -21.2% |
| Return on Assets | 7.3% | 9.0% | -19.0% |
| Gross Margin | Not reported | Not reported | Not reported |
| Operating Margin | 31.7% | 40.0% | -20.7% |
| Net Margin | 20.5% | 28.6% | -28.2% |
| Earnings Per Share (Diluted) | $5.64 | $6.67 | -15.4% |

## Liquidity & Leverage (1/2)

| Metric | Current Value | Prior Period | Change (%) |
|---|---|---|---|
| Current Assets | $811M | $435M | 86.4% |
| Current Liabilities | $1.17B | $790M | 48.0% |
| Cash & Equivalents | $368M | $0 | N/A |
| Cash, Cash Equivalents & Restricted Cash | Not reported | Not reported | Not reported |
| Restricted Cash | Not reported | Not reported | Not reported |
| Cash, Cash Equivalents & Short-Term Investments | Not reported | Not reported | Not reported |
| Short-Term Investments | Not reported | Not reported | Not reported |

## Liquidity & Leverage (2/2)

| Metric | Current Value | Prior Period | Change (%) |
|---|---|---|---|
| Marketable Securities | Not reported | Not reported | Not reported |
| Long-Term Debt | Not reported | Not reported | Not reported |
| Short-Term Debt | Not reported | Not reported | Not reported |
| Total Debt | Not reported | Not reported | Not reported |
| Current Ratio | 0.69x | 0.55x | 26.0% |
| Debt-to-Equity | Not reported | Not reported | Not reported |

# Key Metrics Dashboard (Cont.)

**SM** — Current period: 2025-12-31 | Prior period: 2024-12-31

## Scale

| Metric | Current Value | Prior Period | Change (%) |
|---|---|---|---|
| Revenue | $3.15B | $2.69B | 17.2% |
| Gross Profit | Not reported | Not reported | Not reported |
| Operating Income | $1.00B | $1.08B | -7.1% |
| Net Income | $648M | $770M | -15.8% |
| Total Assets | $9.25B | $8.58B | 7.9% |
| Total Liabilities | Not reported | Not reported | Not reported |
| Stockholders' Equity | $4.81B | $4.24B | 13.5% |

## Cash Flow & Per Share

| Metric | Current Value | Prior Period | Change (%) |
|---|---|---|---|
| Operating Cash Flow | $2.01B | $1.78B | 12.8% |
| Cash at End of Period (cash-flow statement) | Not reported | Not reported | Not reported |
| Capital Expenditures | Not reported | Not reported | Not reported |
| Free Cash Flow | Not reported | Not reported | Not reported |

# Commentary

**SM** — Current period: 2025-12-31 | Prior period: 2024-12-31

## What stands out

- Operating Cash Flow stands at $2.01B (15.4% CAGR). Steady growth over the observed window points to durable demand or improving unit economics.
- Revenue stands at $3.15B (11.2% CAGR). Steady growth over the observed window points to durable demand or improving unit economics.
- Total Stockholders' Equity stands at $4.81B (7.6% CAGR). The upward drift is modest and may reflect inflation-linked pricing as much as organic expansion.

## Watch items

- The following governed risk signals are active in the locked annual basis.
- **Low liquidity:** Current ratio is 0.69x, below 1.0x.

## Analyst interpretation

- Revenue grew 17.2% year over year, outpacing a typical low-single-digit baseline.
- Current ratio is 0.69x, below 1.0x.
- Current conclusions are anchored to a period-locked annual basis (2025-12-31).

# Appendix

**SM** — Current period: 2025-12-31 | Prior period: 2024-12-31

## Appendix A — SM Income Statement

| Metric | FY2025 | FY2024 |
|---|---|---|
| Revenue | $3.15B | $2.69B |
| Operating Expenses | $2.15B | $1.61B |
| Operating Income | $1.00B | $1.08B |
| Net Income | $648M | $770M |
| EPS (Basic) | $5.65 | $6.71 |
| EPS (Diluted) | $5.64 | $6.67 |
| Weighted Avg Shares (Diluted) | 115.0M | 116.0M |
| Pretax Income | $830M | $966M |
| Income Tax Expense | $182M | $196M |

## Appendix B — SM Balance Sheet

| Metric | FY2025 | FY2024 |
|---|---|---|
| Shares Outstanding | 114.6M | 114.5M |
| Total Assets | $9.25B | $8.58B |
| Total Stockholders' Equity | $4.81B | $4.24B |
| Current Assets | $811M | $435M |
| Current Liabilities | $1.17B | $790M |
| Cash & Equivalents | $368M | $0 |
| Accounts Receivable | $331M | $361M |
| Other Current Assets | $29M | $25M |
| Accounts Payable | $77M | $83M |
| Accrued Expenses | $167M | $200M |
| Other Current Liabilities | $58M | $22M |
| Retained Earnings | $3.29B | $2.73B |
| AOCI | $1.0M | -$1.0M |

# Appendix (Cont.)

**SM** — Current period: 2025-12-31 | Prior period: 2024-12-31

## Appendix C — SM Cash Flow Statement

| Metric | FY2025 | FY2024 |
|---|---|---|
| Operating Cash Flow | $2.01B | $1.78B |
| Investing Cash Flow | -$1.47B | -$3.41B |
| Financing Cash Flow | -$175M | $1.01B |
| Dividends Paid | -$92M | -$85M |
| Share Repurchases | -$13M | -$86M |
| Net Change in Cash | $368M | -$616M |

# Data Sources & Notes

| Ticker | CIK | Accession | Form | Filed | Primary Document |
|---|---|---|---|---|---|
| SM | 0000893538 | 0000893538-26-000032 | 10-K | 2026-02-26 | https://www.sec.gov/Archives/edgar/data/893538/000089353826000032/sm-20251231.htm |

## Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Standalone metrics are locked to the selected annual current/prior basis for the issuer.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-09.

Disclaimer: For research use only; not investment advice.